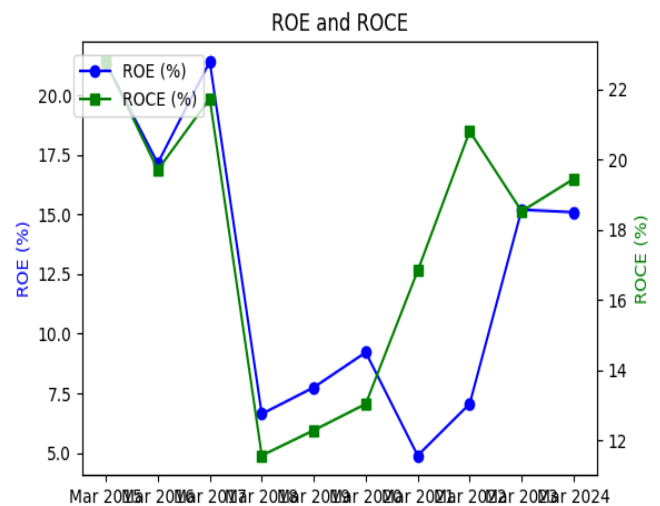
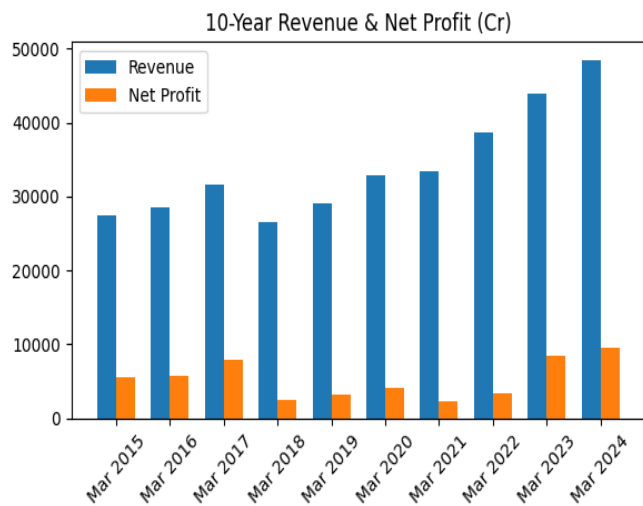
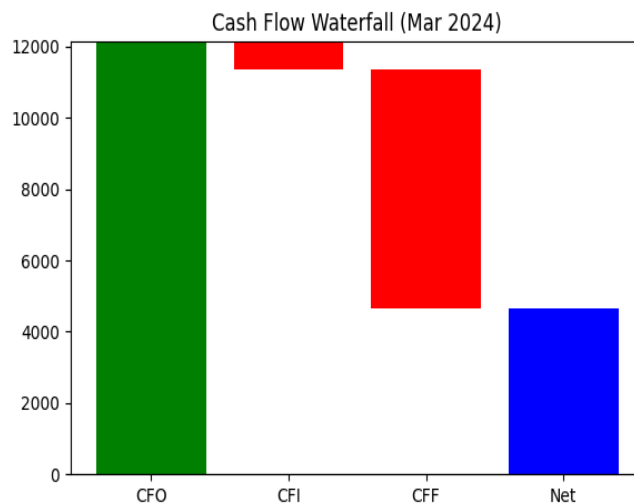
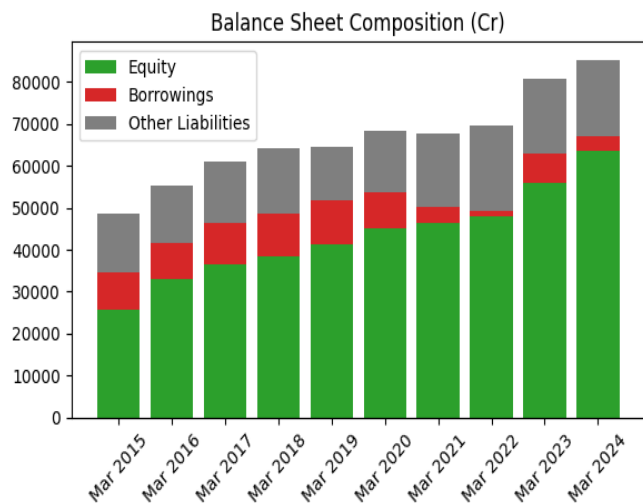


# Sun Pharmaceuticals Industries Ltd (SUNPHARMA)

|                              |                                    |                                          |
|------------------------------|------------------------------------|------------------------------------------|
| <b>Revenue</b><br>■50,308 Cr | <b>Net Profit</b><br>■11,117 Cr    | <b>ROE</b><br>15.1%                      |
| <b>ROCE</b><br>19.4%         | <b>CFO Quality</b><br>High Quality | <b>Allocation</b><br>Shareholder Returns |





## Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Consistent dividend yield above 2% backed by positive free cash flow
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

## Cons

- Macro-economic headwinds may pose challenges to near-term growth

## Capital Allocation Pattern: Shareholder Returns